

CHANNEL • SKU • PACK ARCHITECTURE

Quick Commerce Entry Strategy

for Subko Coffee Roasters

A recommendation on whether Subko belongs on quick commerce at all, and if so: which SKUs, what pack architecture, which platforms, which cities, and the volume below which entry would destroy more value than it creates.

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PREPARED FOR

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Subko is three businesses. Only one of them is ready for this shelf.

Subko has never listed a product on Blinkit, Zepto, or Instamart, while every direct comparable in specialty coffee already has. This report maps Subko's full catalogue against what actually performs on quick commerce, and answers the question the company has not yet answered for itself: **whether it belongs on the channel, in what form, and below what volume the attempt would destroy value.**

₹36.1 Cr	28%	0	3
FY25 REVENUE, FILED	FY25 GROWTH, DOWN FROM 94%	SKUS ON QUICK COMMERCE TODAY	DIRECT COMPARABLES ALREADY LIVE

WHAT SUBKO ACTUALLY SELLS

BUSINESS LINE	WHAT IT INCLUDES	FIT FOR QUICK COMMERCE
Specialty coffee	Rotating single origin microlot beans, a stable Ready to Drink line, single serve pourover sachets	Split: RTD is shelf ready, microlots rotate every few weeks and are not
Fine cacao	Terroir single origin bars, Dark/Milk/White series, Big Cubes, Filled, Experimental, Coated collections	Strong: no freshness urgency, story travels without rotation
Craft bakehouse	Bread and viennoiserie, baked fresh from 5am daily	None: cannot survive dark store dwell time
Merchandise	Apparel, enamel pins, lifestyle items with Studio Substance	None: wrong retail category entirely
Gifting, Taufah	Curated boxes combining coffee and cacao for occasions and corporate gifting	The evidence base for this report's core recommendation

WHY THIS CANNOT WAIT

FY23's EBITDA margin worsened to roughly negative 60 percent from negative 12 percent the year before. Subko burned cash faster relative to revenue as it scaled, not slower. It currently has an open requisition for a Quick Commerce and Ecommerce Manager. Cold coffee demand on at least one major platform grew close to fivefold in June 2026 alone. Every quarter Subko stays off the channel, its larger, faster moving coffee comparables extend a head start on the exact shelf this report argues Subko can compete on, from an angle none of them are currently using.

Two jobs, two formats. Neither should try to do both.

A standalone, single unit removes the risk of trying a brand for the first time. A bundle is how a buyer already willing to spend more gets more variety or occasion value per order. Subko's own Taufah gifting line already proves coffee and cacao sell together; Blue Tokai's live Blinkit gift packs prove the mechanic works on this exact shelf. **The architecture below serves both buyers, staged so no more than two SKUs launch before the first earns its evidence.**

STANDALONE, FOR IMPULSE AND FIRST TRIAL

₹185 STAGE 1 Ready to Drink can, single unit First time trial of the coffee line, minimal commitment	₹150_{est.} STAGE 2 Cacao Terroir bar, 30g, single unit First time trial of the cacao line, minimal commitment
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BUNDLES, FOR BUYERS WHO SPEND MORE, FOR MORE

₹340 STAGE 2 Ready to Drink twin pack Stock up for a buyer who already knows the coffee	₹280 STAGE 1 Coffee + cacao discovery bundle Cross category trial, one can plus two minis	₹499_{est.} STAGE 3 Gifting bundle, two cans + three minis Occasion purchase, highest basket value in the range
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THE STAGED ROLLOUT

MONTHS 0–2 RTD can + discovery bundle The two SKUs with the clearest evidence: Blue Tokai's single can, Subko's own Taufah precedent	MONTHS 3–4 + Cacao bar + twin pack Added once stage one clears 30 days of fill rate above the demotion threshold	MONTH 6, SEASONAL + Gifting bundle Timed to a gifting adjacent occasion to capture the seasonal lift on page 3
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WHAT DOES NOT MOVE ONTO THIS CHANNEL

Rotating microlot beans Designed to rotate every few weeks, which prevents building the sales history a ranking algorithm requires, at any price	Craft bakehouse Baked fresh from 5am daily, unable to survive a multi day dark store cycle	Merchandise Apparel and lifestyle goods have no functional presence on a grocery platform
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Two platforms, three waves, in cities that have already earned it.

Blinkit and Zepto at launch. Instamart's combined commission, brand package, and advertising costs run above both, making it a phase two addition once the ladder has sales history to justify the pricier terms. **Cities follow existing brand density, not dark store size alone.**

THE CITY SEQUENCE

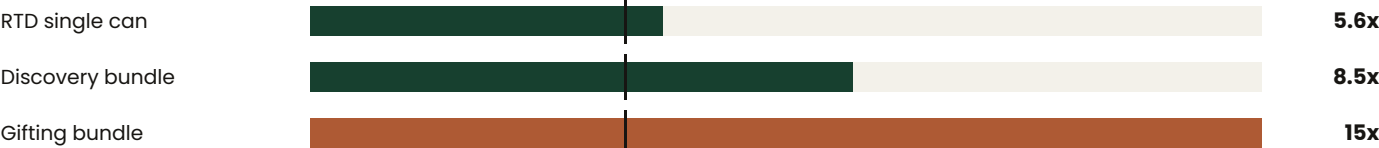
WAVE	TIMING	CITIES	WHY THIS ORDER
One	Months 0–6	Mumbai, Bengaluru	Existing cafe density and Subko's own hyperlocal delivery through Swiggy and Zomato, already running in both
Two	Months 7–14	Pune, Hyderabad	Pune carries spillover recognition from Mumbai; Hyderabad has one cafe and a Bengaluru-like demographic
Three	Months 15–24	Delhi NCR, Chennai	Delhi NCR's dark store base is the largest nationally but brand presence is thin; Chennai follows once wave two validates the approach

ADVERTISING IS A CURVE, NOT A FLAT COST

SHARE OF A NEW SKU'S SALES STILL DEPENDENT ON PAID VISIBILITY, BY MONTH



RETURN ON ADVERTISING SPEND BY SKU, AGAINST THE 4–6X BENCHMARK FOR A 60–65% MARGIN PRODUCT



Vertical marker = top of the 4–6x benchmark range

SEASONAL TIMING

Rakhi week 2025 data showed chocolate gift listing frequency rising 26 percent in metro markets, with bundled packs converting 2.2 times more than standalone items. The gifting bundle is timed to a gifting adjacent occasion for exactly this reason. The two standalone SKUs and earlier bundles carry no such timing dependency.

Every SKU clears the floor most brands never compute.

Modelled on take rate and advertising spend, the two costs that determine per unit profitability on Blinkit and Zepto. **Net contribution stays positive across the whole ladder.** What changes with basket size is not margin percentage, but the absolute rupees that fund the advertising spend needed to build rank.

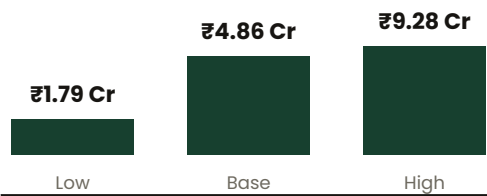
LINE	RTD CAN ₹185	CACAO BAR ₹150 EST.	TWIN PACK ₹340	DISCOVERY ₹280	GIFTING ₹499 EST.
Cost of goods sold	65 (35%)	45 (30%)	119 (35%)	107 (38%)	193 (39%)
Gross margin	120 (65%)	105 (70%)	221 (65%)	173 (62%)	306 (61%)
Take rate, ~21%	39	32	72	59	105
Advertising, ~₹33/unit	33	33	33	33	33
Net contribution	48 (26%)	40 (27%)	116 (34%)	81 (29%)	168 (34%)

Coffee cost of goods sold proxied at 35% from Blue Tokai’s filed materials ratio. Cacao cost of goods sold estimated at 30%, since Subko discloses no comparable figure, and this is the single largest source of uncertainty in the model.

THE VOLUME FLOOR, TWO COMPONENTS

Arithmetic: fixed annual platform costs run to roughly ₹9–10 lakh across two cities. At a ~30% blended contribution margin, this requires only ₹30–33 lakh in annual revenue to cover, cleared comfortably even in the low scenario below. **Operational, the binding one:** platforms demote listings below an 80–90% fill rate, and a new SKU’s first 30 days set its visibility for months. Given Subko’s supply chain scale, the safer footprint is 15–20 stores per city for the stage one SKUs, expanding only alongside the staged rollout on page 2.

WAVE ONE REVENUE POTENTIAL, FULL LADDER AT MATURITY, MONTH SIX



Base case contribution profit: **~₹1.46 Cr/year**, an incremental unlock of **~13.5%** on Subko’s ₹36.1 Cr FY25 revenue, from wave one alone. Waves two and three, staged and contingent on wave one’s results, plausibly bring the system run rate to **₹9.5–10 Cr by month 24**, roughly 26–28% of current revenue.

The honest case against this, and the numbers that would prove it wrong.

RISK 01

The cacao cost estimate is unverified

Subko's hyper-traceable cacao could cost more than a generic craft comparable suggests. **Counter:** even a 10 point increase leaves every SKU profitable, resolvable by confirming landed cost before stage two.

RISK 02

Cross category bundles may underperform a familiar one

Asking a buyer to try coffee and cacao together, unlike Blue Tokai's coffee-only gift packs. **Counter:** Rakhi week data shows chocolate combos outperforming single category bundles, worth confirming with Subko's own data.

RISK 03

Trial may not convert to repeat purchase

If quick commerce buyers stay purely price driven, bundles become one time novelty purchases. **Falsification trigger:** no repeat rate lift versus category average by day 90 means reprice or withdraw.

RISK 04

Five SKUs may outgrow a small team

Two product lines, two platforms, eventually two cities: a real lift for a 15 to 20 cafe team. **Counter:** the staged rollout exists to hold the ladder at its current stage if capacity strains, rather than add SKUs on schedule.

NORTH STAR

Units sold per store per day, per live SKU, against the fill rate threshold

GUARDRAIL

Blended contribution at or below zero for two months triggers mandatory diagnosis

DECISION RULE

Advance the ladder, or wave two, only once the current stage is stable and improving

WHAT THIS PLAN DELIBERATELY DOES NOT DO

Does not place the microlot range on quick commerce at any price. Does not attempt the bakehouse range, regardless of demand. Does not extend to merchandise. Does not launch all five SKUs at once. Does not enter Instamart at launch. Does not launch beyond two cities immediately, despite Delhi NCR's larger dark store base.

No SKU level sales velocity data exists for Subko on any channel. City level dark store counts vary meaningfully across sources for the same city and year. The scope of Subko's own quick commerce hiring effort, domestic or international, remains unconfirmed. Coffee gross margin is estimated from a materials cost ratio now more than two years old. The brand uplift effect from channel visibility is a documented general mechanism with no Subko specific data yet to size it.

A narrow, staged bet, built to prove itself before it scales.

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